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Results of Operations

In this section, we discuss the results of our operations for the year ended December 31, 2024 compared to the year ended December 31, 2023. For a discussion of the year ended December 31, 2023 compared to the year ended December 31, 2022, please refer to Part II, Item 7, "Management's Discussion and Analysis of Financial Condition and Results of Operations" in our Annual Report on Form 10-K for the year ended December 31, 2023.

The following table sets forth our consolidated statements of income data (in millions):

	Year Ended December 31,		
	2024	2023	2022
Revenue	\$ 164,501	\$ 134,902	\$ 116,609
Costs and expenses:			
Cost of revenue	30,161	25,959	25,249
Research and development	43,873	38,483	35,338
Marketing and sales	11,347	12,301	15,262
General and administrative	9,740	11,408	11,816
Total costs and expenses	95,121	88,151	87,665
Income from operations	69,380	46,751	28,944
Interest and other income (expense), net	1,283	677	(125)
Income before provision for income taxes	70,663	47,428	28,819
Provision for income taxes	8,303	8,330	5,619
Net income	\$ 62,360	\$ 39,098	\$ 23,200

The following table sets forth our consolidated statements of income data (as a percentage of revenue)⁽¹⁾:

	Year Ended December 31,		
	2024	2023	2022
Revenue	100 %	100 %	100 %
Costs and expenses:			
Cost of revenue	18	19	22
Research and development	27	29	30
Marketing and sales	7	9	13
General and administrative	6	8	10
Total costs and expenses	58	65	75
Income from operations	42	35	25
Interest and other income (expense), net	1	1	—
Income before provision for income taxes	43	35	25
Provision for income taxes	5	6	5
Net income	38 %	29 %	20 %

(1) Percentages have been rounded for presentation purposes and may differ from unrounded results.

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Revenue

The following table sets forth our revenue by source and by segment:

	Year Ended December 31,			2024 vs 2023 % change	2023 vs 2022 % change
	2024	2023	2022		
	<i>(in millions, except percentages)</i>				
Advertising	\$ 160,633	\$ 131,948	\$ 113,642	22 %	16 %
Other revenue	1,722	1,058	808	63 %	31 %
Family of Apps	162,355	133,006	114,450	22 %	16 %
Reality Labs	2,146	1,896	2,159	13 %	(12)%
Total revenue	<u>\$ 164,501</u>	<u>\$ 134,902</u>	<u>\$ 116,609</u>	22 %	16 %

Family of Apps

FoA revenue in 2024 increased \$29.35 billion, or 22%, compared to 2023. The increase was almost entirely driven by advertising revenue.

Advertising

Advertising revenue in 2024 increased \$28.68 billion, or 22%, compared to 2023 due to increases in ad impressions delivered and average price per ad. In 2024, ad impressions delivered increased by 11%, as compared with a 28% increase in 2023, year-over-year. Ad impressions delivered during 2024 grew in all regions, especially in Asia-Pacific and Rest of World, which was mostly driven by increases in users and their engagement on our products. In 2024, the average price per ad increased by 10%, as compared with a decrease of 9% in 2023, year-over-year. The increase in average price per ad in 2024 was driven by an increase in advertising demand, which we believe is mainly due to ongoing improvements to our ad performance from our ad targeting and measurement tools. This increase was partially offset by a higher number of ad impressions delivered, especially in geographies and in products, such as Reels, that monetize at lower rates. Other factors are discussed in the section entitled "—Executive Overview of Full Year 2024 Results." In addition, the online commerce vertical was the largest contributor to the increase in advertising revenue in 2024 compared to 2023. We anticipate that future advertising revenue will be driven by a combination of price and ad impressions delivered.

Other revenue

FoA other revenue in 2024 increased \$664 million, or 63%, compared to 2023. The increase was primarily driven by WhatsApp Business Platform revenue.

Reality Labs

RL revenue in 2024 increased \$250 million, or 13%, compared to 2023. The increase was mostly due to an increase in RL consumer hardware products sold.

Revenue Seasonality

Revenue is traditionally seasonally strong in the fourth quarter of each year due in part to seasonal holiday demand. We believe that this seasonality in both advertising revenue and RL consumer hardware sales affects our quarterly results, which generally reflect significant growth in revenue between the third and fourth quarters and a decline between the fourth and subsequent first quarters. For instance, our total revenue increased 19%, 17%, and 16% between the third and fourth quarters of 2024, 2023, and 2022, respectively, while total revenue for the first quarters of 2024, 2023, and 2022 declined 9%, 11%, and 17% compared to the fourth quarters of 2023, 2022, and 2021, respectively.

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Foreign Exchange Impact on Revenue

Changes in foreign exchange rates had an unfavorable impact on our revenue in the full year 2024 compared to the same period in 2023. To calculate revenue on a constant currency basis, we translated revenue using the prior year's monthly exchange rates for our settlement or billing currencies other than the U.S. dollar. Using these constant rates for full year 2024, our total revenue and advertising revenue would have been \$165.37 billion and \$161.51 billion, which were \$874 million and \$880 million higher than actual total revenue and advertising revenue, respectively.

Cost of revenue

	Year Ended December 31,			2024 vs 2023 % change	2023 vs 2022 % change
	2024	2023	2022		
	<i>(in millions, except percentages)</i>				
Cost of revenue	\$ 30,161	\$ 25,959	\$ 25,249	16 %	3 %
Percentage of revenue	18 %	19 %	22 %		

Cost of revenue in 2024 increased \$4.20 billion, or 16%, compared to 2023. The increase was primarily due to higher operational expenses related to our data centers and technical infrastructure, mostly from higher depreciation expense.

See Note 7 — Property and Equipment in the notes to the consolidated financial statements included in Part II, Item 8, "Financial Statements and Supplementary Data" of this Annual Report on Form 10-K for additional information regarding depreciation expense.

Research and development

	Year Ended December 31,			2024 vs 2023 % change	2023 vs 2022 % change
	2024	2023	2022		
	<i>(in millions, except percentages)</i>				
Research and development	\$ 43,873	\$ 38,483	\$ 35,338	14 %	9 %
Percentage of revenue	27 %	29 %	30 %		

Research and development expenses in 2024 increased \$5.39 billion, or 14%, compared to 2023. The increase was mostly due to higher employee compensation as well as infrastructure costs for research and development, partially offset by lower restructuring charges.

The higher employee compensation was mainly from a 13% growth in employee headcount from 2023 to 2024 in engineering and other technical functions supporting our continued investment in our family of products and Reality Labs.

See Note 3 — Restructuring in the notes to the consolidated financial statements included in Part II, Item 8, "Financial Statements and Supplementary Data" of this Annual Report on Form 10-K for additional information regarding restructuring charges.

Marketing and sales

	Year Ended December 31,			2024 vs 2023 % change	2023 vs 2022 % change
	2024	2023	2022		
	<i>(in millions, except percentages)</i>				
Marketing and sales	\$ 11,347	\$ 12,301	\$ 15,262	(8)%	(19)%
Percentage of revenue	7 %	9 %	13 %		

Marketing and sales expenses in 2024 decreased \$954 million, or 8%, compared to 2023. The decrease was primarily due to lower restructuring charges and, to a lesser extent, a decrease in employee compensation.

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See Note 3 — Restructuring in the notes to the consolidated financial statements included in Part II, Item 8, "Financial Statements and Supplementary Data" of this Annual Report on Form 10-K for additional information regarding restructuring charges.

General and administrative

	Year Ended December 31,			2024 vs 2023 % change	2023 vs 2022 % change
	2024	2023	2022		
	<i>(in millions, except percentages)</i>				
General and administrative	\$ 9,740	\$ 11,408	\$ 11,816	(15)%	(3)%
Percentage of revenue	6 %	8 %	10 %		

General and administrative expenses in 2024 decreased \$1.67 billion, or 15%, compared to 2023. The decrease was mostly driven by a favorable impact of \$1.55 billion in legal-related costs. To a lesser extent, the decrease was also attributed to lower restructuring charges, partially offset by an increase in other taxes.

See Note 3 — Restructuring and Note 12 — Commitments and Contingencies in the notes to the consolidated financial statements included in Part II, Item 8, "Financial Statements and Supplementary Data" of this Annual Report on Form 10-K for additional information regarding restructuring charges and legal-related costs, respectively.

Segment profitability

The following table sets forth income (loss) from operations by segment:

	Year Ended December 31,			2024 vs 2023 % change	2023 vs 2022 % change
	2024	2023	2022		
	<i>(in millions, except percentages)</i>				
Family of Apps	\$ 87,109	\$ 62,871	\$ 42,661	39 %	47 %
Reality Labs	(17,729)	(16,120)	(13,717)	(10)%	(18)%
Total income from operations	\$ 69,380	\$ 46,751	\$ 28,944	48 %	62 %

Family of Apps

FoA income from operations in 2024 increased \$24.24 billion, or 39%, compared to 2023. The increase in FoA income from operations was driven by higher advertising revenue which was partially offset by an increase in costs and expenses. The increase in costs and expenses was mainly due to increases in operational expenses related to our data centers and technical infrastructure, mostly from higher depreciation expense and employee compensation, partially offset by lower restructuring and legal-related costs.

Reality Labs

RL loss from operations in 2024 increased \$1.61 billion, or 10%, compared to 2023, driven by an increase in RL costs and expenses. RL costs and expenses increased primarily due to increases in employee compensation and infrastructure costs.

See Note 3 — Restructuring, Note 7 — Property and Equipment, Note 12 — Commitments and Contingencies, and Note 16 — Segment and Geographical Information in the notes to the consolidated financial statements included in Part II, Item 8, "Financial Statements and Supplementary Data" of this Annual Report on Form 10-K for additional information regarding restructuring charges, depreciation expense, legal-related costs, and segment employee compensation, respectively.

[Table of Contents](#)**Interest and other income (expense), net**

	Year Ended December 31,			2024 vs 2023 % change	2023 vs 2022 % change
	2024	2023	2022		
	<i>(in millions, except percentages)</i>				
Interest income	\$ 2,517	\$ 1,639	\$ 461	54 %	256 %
Interest expense	(715)	(446)	(185)	(60)%	(141)%
Foreign currency exchange losses, net	(690)	(366)	(81)	(89)%	(352)%
Other income (expense), net	171	(150)	(320)	214 %	53 %
Total interest and other income (expense), net	<u>\$ 1,283</u>	<u>\$ 677</u>	<u>\$ (125)</u>	90 %	NM

NM - not meaningful

Interest and other income (expense), net in 2024 increased \$606 million compared to 2023, mostly due to an increase in interest income from a combination of higher balances and interest rates, partially offset by an increase in interest expense on our long-term debt.

Provision for income taxes

	Year Ended December 31,			2024 vs 2023 % change	2023 vs 2022 % change
	2024	2023	2022		
	<i>(in millions, except percentages)</i>				
Provision for income taxes	\$ 8,303	\$ 8,330	\$ 5,619	— %	48 %
Effective tax rate	12 %	18 %	19 %		

Our provision for income taxes in 2024 decreased \$27 million compared to 2023, due to a decrease in the effective tax rate, offset by an increase in income before provision for income taxes.

Our effective tax rate in 2024 decreased compared to 2023, primarily due to excess tax benefits recognized from share-based compensation and an increase in research tax credits.

Effective Tax Rate Items. Our effective tax rate in the future will depend upon the proportion between the following items and income before provision for income taxes: U.S. tax benefits from foreign-derived intangible income, tax effects from share-based compensation, research tax credit, tax effects from capital losses not expected to be utilized, settlement of tax contingency items, tax effects of changes in our business, and the effects of changes in tax law.

The accounting for share-based compensation may increase or decrease our effective tax rate based upon the difference between our share-based compensation expense and the deductions taken on our tax return, which depend upon the stock price at the time of employee award vesting. If our stock price remains constant to the January 24, 2025 price, and absent any changes to our tax landscape, we expect our effective tax rate for the full year 2025 to be in the range of 12-15%. This includes the effects of the mandatory capitalization and amortization of research and development expenses incurred in 2024, as required by the 2017 Tax Cuts and Jobs Act (Tax Act). The mandatory capitalization requirement increased our 2024 cash tax liabilities materially but also decreased our effective tax rate due to increasing the foreign-derived intangible income deduction. If the mandatory capitalization is deferred, our effective tax rate in 2025 could be higher when compared to current law and our cash tax liabilities could be lower.

A number of countries have enacted legislation to implement the Organization for Economic Cooperation and Development's 15% global minimum tax regime with effect from January 1, 2024. These changes did not have a material impact on our consolidated financial statements for 2024. We continue to evaluate the impacts of proposed and enacted legislation with respect to the global minimum tax regime in the jurisdictions we operate in. As additional jurisdictions enact legislation, transitional relief expires, and other provisions of the minimum tax legislation become effective, our effective tax rate and cash tax payments could increase in future years.

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Unrecognized Tax Benefits. As of December 31, 2024, we had net uncertain tax positions of \$9.99 billion which was included in long-term income taxes on our consolidated balance sheets. These unrecognized tax benefits were predominantly accrued for uncertainties with our research tax credits and transfer pricing with our foreign subsidiaries, which include licensing of intellectual property, providing services and other transactions. The ultimate settlement of the liabilities will depend upon resolution of tax audits, litigation, or events that would otherwise change the assessment of such items. Based upon the status of litigation described below and the current status of tax audits in various jurisdictions, we do not anticipate a material change to such amounts within the next 12 months.

See Note 15 — Income Taxes in the notes to the consolidated financial statements included in Part II, Item 8, "Financial Statements and Supplementary Data" of this Annual Report on Form 10-K for additional information regarding income tax contingencies.

Liquidity and Capital Resources

Our principal sources of liquidity are our cash, cash equivalents, marketable securities, and cash generated from operations. Cash, cash equivalents, and marketable securities are comprised of cash on deposit with banks, time deposits, money market funds, U.S. government and agency securities, investment grade corporate debt securities, and marketable equity securities. As part of our cash management strategy, we concentrate cash deposits with large financial institutions and our investment holdings are in diversified highly rated securities. Cash, cash equivalents, and marketable securities were \$77.81 billion as of December 31, 2024, an increase of \$12.41 billion from December 31, 2023. The increase was due to \$91.33 billion of cash generated from operations and \$10.43 billion of net proceeds from the issuance of fixed-rate senior unsecured notes (the Notes) in August 2024. These increases were offset by \$39.23 billion of capital expenditures, including principal payments on finance leases, our capital returns of \$35.20 billion for repurchases of our Class A common stock and payments of dividends and dividend equivalents, and \$13.77 billion of taxes paid related to net share settlement of employee restricted stock unit (RSU) awards.

The following table presents our cash flows (in millions):

	Year Ended December 31,		
	2024	2023	2022
Net cash provided by operating activities	\$ 91,328	\$ 71,113	\$ 50,475
Net cash used in investing activities	\$ (47,150)	\$ (24,495)	\$ (28,970)
Net cash used in financing activities	\$ (40,781)	\$ (19,500)	\$ (22,136)

Cash Provided by Operating Activities

Cash provided by operating activities during 2024 mostly consisted of \$62.36 billion net income adjusted for certain non-cash items, such as \$16.69 billion of share-based compensation expense and \$15.50 billion of depreciation and amortization expense. The increase in cash flows from operating activities during 2024 compared to 2023, was due to an increase in cash collection from our customers driven by the increase in revenue, partially offset by higher cash paid for income taxes and other operational spending.

Cash Used in Investing Activities

Cash used in investing activities during 2024 mostly consisted of \$37.26 billion of purchases of property and equipment as we continued to invest in servers, data centers, and network infrastructure, and \$9.75 billion of net purchases of marketable securities. The increase in cash used in investing activities during 2024 compared to 2023 was mostly due to increases in net purchases of marketable debt securities and property and equipment.

We anticipate making capital expenditures of approximately \$60 billion to \$65 billion in 2025 to support our core business and generative AI efforts.